Manoj retires on 31st December, 2018 subject to the following conditions:

(i) Muthu and Murali will share profits and losses in the ratio of 3:2

(ii) Assets are to be revalued as follows:
Machinery ₹ 43,000, stock ₹ 27,000, debtors ₹ 28,000.

(iii) Goodwill of the firm is valued at ₹ 30,000

(iv) The final amount due to Manoj is not paid immediately

Prepare necessary ledger accounts and the balance sheet immediately after the retirement of Manoj.

Solution

Dr. Revaluation Account Cr.

Particulars	₹	₹	Particulars	₹
To Machinery A/c		2,000	By Stock A/c	7,000
To Debtors A/c		2,000		
To Profit on revaluation transferred to				
Muthu's capital A/c	1,500			
Murali's capital A/c	500			
Manoj's capital A/c	1,000	**3,000**		
		7,000		7,000

Dr. Capital Account Cr.

Particulars	Muthu ₹	Murali ₹	Manoj ₹	Particulars	Muthu ₹	Murali ₹	Manoj ₹
To Manoj's capital A/c	3,000	7,000	-	By Balance b/d	20,000	25,000	20,000
To Manoj's loan A/c			33,000	By General reserve A/c	3,000	1,000	2,000
To Balance c/d	**21,500**	**19,500**		By Revaluation A/c (profit)	1,500	500	1,000
				By Muthu's capital A/c			3,000
				By Murali's capital A/c			7,000
	24,500	26,500	33,000		24,500	26,500	33,000
				By Balance b/d	21,500	19,500	

Note:

(i) Computation of gaining ratio

Share gained = New share – old share

Muthu $= \frac{3}{5} - \frac{3}{6} = \frac{18-15}{30} = \frac{3}{30}$

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